SSS PENSION REFORM PROGRAM
FAQ Document for SSS Employees

Key talking points

- The SSS will roll out a historic Pension Reform Program starting September 2025, following the directive of President Ferdinand R. Marcos Jr. to study possibility of pension increase.
- The Program introduces a structured, 3-year increase in pensions for all SSS pensioners, the first in SSS' history.
- Republic Act No. 11199 (Social Security Act of 2018), particularly Section 4, empowers the Social Security Commission (SSC) to adjust pension benefits.
- Financial impact is projected at ₱92.8 billion in additional pension payouts from September 2025 to December 2027, benefiting 3.8-million pensioners.

1. How much is the pension increase and when will it take effect?

A percentage-based pension increase will be implemented for all types of pensioners starting September 1 of each implementation year, as follows:

Type of Pensioner	Starting Sep 2025	Starting Sep 2026	Starting Sep 2027
Retirement/Disability	10%	10%	10%
Survivorship (Death)	5%	5%	5%

The increase will be applied to the monthly pension and ₱1,000 benefit allowance. The dependents' pension (i.e., equivalent to 10% of the monthly pension or ₱250 whichever is higher) will also be adjusted accordingly.

2. Who are the pensioners covered under the Program?

- Existing retirement, disability (total and partial) and death pensioners as of August 31 of each implementation year, including those:
  - Under advance pension period
  - With suspended pension awaiting resumption for ACOP compliance
- Qualified members who have in-process/pending or have not yet filed for retirement, disability (total and partial) and death pension benefit claims, but with contingency date as of August 31 of each implementation year

Sample cases:

Pensioner	Date of Contingency	With Pension Increase starting:		
		Sep 2025	Sep 2026	Sep 2027
Pensioner A	15 Jan 2024	Yes	Yes	Yes
Pensioner B	15 Aug 2025	Yes	Yes	Yes
Pensioner C	15 Oct 2025	No	Yes	Yes
Pensioner D	15 Apr 2026	No	Yes	Yes
Pensioner E	15 Dec 2026	No	No	Yes
Pensioner F	15 Jul 2027	No	No	Yes
Pensioner G	15 Sep 2027	No	No	No

Qualified Member	Date of Contingency / Date of Filing	With Pension Increase starting:		
		Sep 2025	Sep 2026	Sep 2027
Member A	15 Jan 2025 / 15 Oct 2027	Yes	Yes	Yes
Member B	15 Apr 2026 / 15 Sep 2027	No	Yes	Yes
Member C	15 Aug 2027 / 15 Jul 2028	No	No	Yes

3. **How many pensioners will immediately benefit from the Program?**

   There are 3.8-million SSS pensioners as of June 2025 who are expected to be granted pension increases starting September this year.

Type of Pensioner	Number	Share to Total
Retirement	2,493,759	*66%*
Disability	101,944	*3%*
Survivorship (Death)	1,171,061	*31%*
Total	**3,766,764**	***100%***

   Employees' Compensation (EC) pensioners are not yet covered under the Program.

4. **What are possible cases of pensioners covered by the Program who may receive the amount of pension increase through payment of differential?**

   - Retirement pensioners who opted for advance 18-month pension covering September 2025 onwards
   - Pensioners awaiting resumption of pension whose ACOP compliance will be received and encoded on or before 5 September 2025
   - Qualified members whose initial pension benefit will be approved and paid prior to 1 October 2025

5. **Why are we implementing the Program?**

   The Program will help SSS pensioners recover from inflation to protect their purchasing power. Total pension increases after the 3-year period is 33.1% for retirement/disability pensioners and 15.8% for survivorship (death) pensioners.

   Note that the ₱1,000 additional benefit allowance for SSS pensioners was granted starting January 2017, or 8 years ago. The last time that the SSS initiated an across-the-board pension increase at 5% was in June 2014, or 11 years ago.

6. **Why is the increase for survivorship (death) pensioners only at 5% or half of that of retirement and disability pensioners?**

   The existing SSS survivorship (death) benefit scheme is already generous as it grants 100% of the deceased member's computed pension to his/her primary beneficiaries. This is significantly higher than the acceptable international practice of granting 50%.

The Program will uplift all SSS pensioners through inclusive benefit adjustments. No pensioner will be left behind.

7. **Why implement a percentage-based pension increase and not give all SSS pensioners the same fixed amount?**

The Program is designed to promote the value of "Work, Save, Invest and Prosper" as mandated under the SS Law.

A percentage-based increase is fair and more equitable because it ensures higher pension benefits for those pensioners who contributed higher amounts over a longer period when they were still working.

<u>Illustration of the range of pension increases:</u>

Type of Pensioner	Current Pension	Resulting Pension due to Increase under the SSS Pension Reform Program			Increase from Current Pension to Sep 2027 Pension	
	Jun 2025	Sep 2025	Sep 2026	Sep 2027	Amount	*Percent*
Minimum						
Retirement	2,200.00	2,420.00	2,662.00	2,928.20	**728.20**	***33.1%***
Disability	2,000.00	2,200.00	2,420.00	2,662.00	**662.00**	***33.1%***
Survivorship	2,000.00	2,100.00	2,205.00	2,315.25	**315.25**	***15.8%***
Average						
Retirement	5,120.20	5,632.22	6,195.44	6,814.99	**1,694.79**	***33.1%***
Disability	4,963.70	5,460.07	6,006.08	6,606.68	**1,642.98**	***33.1%***
Survivorship	4,170.97	4,379.52	4,598.49	4,828.42	**657.45**	***15.8%***
Highest						
Retirement	22,137.25	24,350.98	26,786.07	29,464.68	**7,327.43**	***33.1%***
Disability	18,058.00	19,863.80	21,850.18	24,035.20	**5,977.20**	***33.1%***
Survivorship	20,200.00	21,210.00	22,270.50	23,384.03	**3,184.03**	***15.8%***

8. **How will the Program affect the SSS Fund?**

The SSS Fund remains financially sound as the projected impact of the Program is minimal (i.e., fund life adjusting from 2053 to 2049) and will be restored through improved collections and investments.

Mitigation strategies will be adopted to preserve financial viability while pursuing benefit adequacy objective.

9. **Will SSS members be affected by the Program due to higher contributions?**

No contribution rate increases will be implemented during the 3-year period of the Program (moratorium in place).

There will be no additional burden on the part of SSS members, considering that the last tranche of the scheduled contribution increases under the SS Law has been implemented effective January 2025.

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